

sizes in consolidated information in terms of the number of shares, rounded down to the nearest multiple of a round lot.

1. Comments and Response

The Commission received comments on the display requirement adopted as part of the MDI Rules.⁹²⁰ One commenter stated that, for mixed lot orders, the total number of shares—both the round lot and odd-lot portions—should be included as consolidated market data.⁹²¹ Another commenter stated that, by requiring that the number of shares at each price level be displayed at the round lot level, the display requirement would make consolidated market data less useful and less competitive relative to exchange proprietary data feeds, which display the total number of shares at a price level.⁹²² The commenter also stated that basing quotations on the number of shares rounded to the nearest round lot (rather than based on round lots) could result in operational risk and investor confusion.⁹²³

As stated above, the display requirement was adopted as part of the MDI Rules. The Commission discussed the reasons for adopting the display requirement in the MDI Adopting Release.⁹²⁴ However, in response to the commenter that suggested the inclusion of both the round lot and odd-lot portions of mixed lot orders,⁹²⁵ since odd-lot information will be disseminated by the exclusive SIPs,⁹²⁶ the total number of shares of odd-lots priced at or better than the NBBO will be included in SIP data. Through the definition of odd-lot information, the

⁹²⁰ See FIF Letter at 13; SIFMA Letter II at 34, 42.

⁹²¹ See FIF Letter at 13.

⁹²² See SIFMA Letter II at 42.

⁹²³ See SIFMA Letter II at 34.

⁹²⁴ See MDI Adopting Release, supra note 10, at 18615.

⁹²⁵ See FIF Letter at 13.

⁹²⁶ See amended Rule 603(b)(3).

MDI Rules require odd-lots priced at or better than the NBBO to be represented in the aggregate at each price level at each national securities exchange or national securities association rather than on an order-by-order basis.⁹²⁷

In response to the commenter that stated that displaying quotations in round lot sizes would undermine the usability and competitiveness of consolidated market data as compared to exchange proprietary data feeds,⁹²⁸ the Commission described the reason for displaying quotations in round lot sizes in the MDI Adopting Release, which remains relevant to the implementation of the round lot definition by the exclusive SIPs.⁹²⁹ Further, the Commission recognized in the MDI Adopting Release that different market participants need differing amounts of information to meet different trading objectives.⁹³⁰ The MDI Rules are intended to reduce information asymmetries between users of proprietary feeds and users of SIP data by enhancing the content of information made available in the national market system to enable market participants to trade efficiently and competitively.⁹³¹ For example, the inclusion of odd-lot quotations and the round lot definition will allow investors to see, and more readily access, better priced orders in smaller sizes.⁹³² As discussed above, the total number of shares of odd-lots priced at or better than the NBBO will be included in data that is made available by the exclusive SIPs. Certain market participants may choose to continue to purchase exchange proprietary data products if they require more granular information about odd-lots. Here, the

⁹²⁷ 17 CFR 242.600(b)(69)(ii). See also supra note 919.

⁹²⁸ See SIFMA Letter II at 42.

⁹²⁹ See MDI Adopting Release, supra note 10, at 18615.

⁹³⁰ See MDI Adopting Release, supra note 10, at 18600.

⁹³¹ See MDI Adopting Release, supra note 10, at 18601.

⁹³² See MDI Adopting Release, supra note 10, at 18601, 18607.

Commission’s amendment is limited in reach – it extends the MDI Rules’ display requirement to the exclusive SIPs as part of the accelerated implementation of the round lot and odd-lot information definitions, changing only the entity responsible for displaying this information—from competing consolidators to the exclusive SIPs. This change by itself should not impact the utility or competitiveness of consolidated market data. With respect to the commenter’s concerns that the display requirement would result in operational risk and investor confusion,⁹³³ the required display of mixed lot orders rounded down to the nearest multiple of a round lot was previously adopted in the MDI Rules for competing consolidators.⁹³⁴ In the MDI Adopting Release, the Commission stated that the preexisting convention of displaying the number of round lots “could be confusing” when applied to the MDI Rules’ round lot definition, which, once implemented, will assign varying round lot sizes to individual NMS stocks based on stock price.⁹³⁵ Further, the Commission explained that rounding down to the nearest round lot multiple would ensure that the elements of core data would reflect orders of meaningful size, and that for the NBBO, rounding down would help ensure that the protected portion of the order is clearly represented, to address concerns about impacts on investor confidence and investor confusion that potentially could result from the display of unprotected size at the NBBO.⁹³⁶ The Commission also stated that odd-lots priced at or better than the NBBO, including the odd-lot

⁹³³ See SIFMA Letter II at 34.

⁹³⁴ 17 CFR 242.600(b)(26)(iii).

⁹³⁵ See MDI Adopting Release, supra note 10, at 18615.

⁹³⁶ See MDI Adopting Release, supra note 10, at 18615 n.236. Rule 611 of Regulation NMS requires trading centers to have policies and procedures that are reasonably designed to prevent “trade-throughs” on that trading center of protected quotes in NMS stocks, subject to specified exceptions. 17 CFR 242.611. Rule 611 currently only applies to round lots. Specifically, rule 611 applies to “protected quotations” which means “protected bid[s] or []protected offer[s].” 17 CFR 242.600(b)(82). “Protected bid or protected offer,” as defined in rule 600(b)(81), refers to “a quotation,” defined in rule 600(b)(86), which in turn refers to “a bid or an offer,” defined in rule 600(b)(16), which, as noted above, only applies to round lots. See supra note 913 and accompanying text.

portion of a mixed lot order at the NBBO, will be included in core data.⁹³⁷ The Commission is extending this display requirement to exclusive SIPs as part of the accelerated implementation of the round lot and odd-lot information definitions. There should not be any new operational risks or investor confusion arising from this change because only the entity responsible for displaying the information is changing.

The Commission is adopting Rule 603(b)(3) as proposed.

E. MDI Rules Implementation

Some commenters discussed the benefits of the MDI Rules⁹³⁸ and expressed concern that the accelerated implementation of the round lot and odd-lot information definitions could indefinitely delay implementation of the remainder of the MDI Rules,⁹³⁹ stating that these proposed changes were not a substitute for implementation of all of the MDI Rules.⁹⁴⁰ Some commenters suggested that the changes proposed in the Regulation NMS Proposal should be postponed until the full implementation of the MDI Rules.⁹⁴¹ Some commenters also raised concerns that the Commission was separately accelerating the implementation of the round lot and the odd-lot information definitions apart from the other components of the MDI Rules.⁹⁴² One commenter stated that “full implementation of the MDI Rules” is “a necessary first step for any significant changes to market structure,” and whether or not fully implemented, “an

⁹³⁷ See MDI Adopting Release, supra note 10, at 18615 n.236; see also supra note 919.

⁹³⁸ See, e.g., Schwab Letter II at 36; FIA PTG Letter II at 5; Robinhood Letter at 46-47.

⁹³⁹ See, e.g., JPMorgan Letter at 7; Citadel Letter I at 26; ICI Letter I at 2-3 n.8; Robinhood Letter at 5. See also Schwab Letter II at 36.

⁹⁴⁰ See SIFMA Letter II at 44. This commenter and another commenter stated that the Commission has not taken action to ensure the implementation of the full set of MDI Rules since disapproving the proposed fees and proposed amendments to the current NMS plans for consolidated market data in 2022. Id.; SIFMA AMG Letter I at 9. See also Fidelity Letter at 4; FIA PTG Letter II at 5.

⁹⁴¹ See, e.g., SIFMA Letter II at 44; Robinhood Letter at 5.

⁹⁴² See, e.g., Robinhood Letter at 5, 38, 41-42, 43, 47, 48, 49; JPMorgan Letter at 7; Citadel Letter I at 26.

indispensable component of the ‘baseline’ against which this proposal must be measured and justified.”⁹⁴³

Despite delays in the process,⁹⁴⁴ the implementation of the MDI Rules continues to be a Commission priority. In September 2023, the Commission issued an amended order directing the SROs to file a proposed new single national market system plan regarding consolidated equity market data.⁹⁴⁵ Consolidation of the multiple Equity Data Plans into a single, new equity data plan would modernize the governance of the existing Equity Data Plans.⁹⁴⁶

The Commission disagrees with comments that recommended delaying implementation of the Regulation NMS Proposal until the full implementation of the MDI Rules.⁹⁴⁷ Due to the delayed implementation of the MDI Rules, the Commission proposed to accelerate the implementation of the round lot and odd-lot definitions because these definitions can be efficiently implemented under the current exclusive SIP model.⁹⁴⁸ Not doing so would unnecessarily delay the benefits of the round lot and odd-lot information definitions to investors and market participants. One goal in adopting the round lot definition was to increase transparency about the better priced orders available in the market by allowing each exchange’s BBO and the NBBO for an NMS stock to be based upon smaller, potentially better priced orders,

⁹⁴³ Robinhood Letter at 49. See also Robinhood Letter at 44, 46-49. See also infra section VII.C.3.

⁹⁴⁴ See supra notes 73-76 and accompanying text.

⁹⁴⁵ See supra note 78.

⁹⁴⁶ Rule 614(e) of the MDI Rules requires that an amendment to the effective national market system plan(s) be filed with the Commission to conform such plan(s) to the decentralized consolidation model. 17 CFR 242.614(e).

⁹⁴⁷ See, e.g., SIFMA Letter II at 44; Robinhood Letter at 5; see also Robinhood Letter at 42, 49.

⁹⁴⁸ See Proposing Release, supra note 11, at 80296 n.359.

which will also improve market participants' ability to access these orders.⁹⁴⁹ Waiting to implement the round lot definition would delay these benefits for market participants. Further, full implementation of the MDI Rules will not address the issues discussed above related to the minimum pricing increments for certain NMS stocks, the access fee caps for protected quotations and exchange fees.⁹⁵⁰ Finally, as discussed below, the eventual implementation of the MDI Rules is part of the baseline for the amendments to Rules 610 and 612.⁹⁵¹

VI. Compliance Dates

The Commission proposed different compliance dates for the individual proposed rule amendments. As discussed below in the relevant sections, the Commission received several comments on the proposed compliance dates.⁹⁵² The Commission is adopting compliance dates that are longer than proposed.⁹⁵³

Specifically, for the reasons discussed below, the amendments adopted herein will have the following compliance dates:

Rules 600(b)(89)(i)(F) and 612: The first business day of November 2025.

⁹⁴⁹ See Proposing Release, supra note 11, at 80294. For more details, see MDI Proposing Release, supra note 744, at 16743.

⁹⁵⁰ See supra sections III.A, IV.C, and IV.E.

⁹⁵¹ See infra section VII.C.3.

⁹⁵² See, e.g., NYSE Letter I at 7-8; CTA, CQ, UTP Plans Operating Committees Letter at 3; FISD Letter at 2, 3, 4; Nasdaq Letter I at 3; Cboe Letter II at 11; FIF Letter at 14; Cboe Letter III at 10 n.18.

⁹⁵³ In addition, with respect to the compliance dates, several commenters requested the Commission consider the interaction between the proposed rules and other recent Commission rules. In determining compliance dates, the Commission considers the benefits of the rules as well as the costs of delayed compliance dates and the potential overlapping compliance dates. For reasons discussed throughout the release, to the extent that there are costs from overlapping compliance dates, we expect the benefits of the rules to justify such costs. See infra section VII.D.6 for a discussion of the interactions of the final rules with certain other Commission rules.

Rules 600(b)(89)(iv), 600(b)(93) and 603(b)(3) (with respect to the requirement that the effective national market system plans to disseminate consolidated information shall provide for the dissemination of all consolidated information for an individual NMS stock through an exclusive SIP, and that the exclusive SIPs must represent quotation sizes in such consolidated information in terms of the number of shares, rounded down to the nearest multiple of a round lot): The first business day of November 2025.

Rule 610: The first business day of November 2025.

Rules 600(b)(69) and 603(b)(3) (with respect to the requirement that every national securities exchange on which an NMS stock is traded and national securities association must make available to the exclusive SIPs all data necessary to generate odd-lot information, and the collection, consolidation and dissemination of odd-lot information by the exclusive SIPs): The first business day of May 2026.

A. Final Rule 612 Compliance Date

In the Proposing Release, the Commission detailed a staggered implementation period that would cover five quarters for the proposed amendments to Rule 612. The Commission proposed the implementation period to provide the market and market participants with time to implement the proposed variable minimum pricing increments as well as to facilitate an orderly transition. The amendments to Rule 612 adopted today are modified from those that were proposed. Accordingly, the Commission is adopting a modified implementation schedule and compliance date.

One commenter suggested that the Commission direct the SROs to develop a phased implementation schedule for the reduced minimum pricing increment, “[c]onsistent with the prior implementation of decimalization” and described several steps to be considered in an

implementation plan.⁹⁵⁴ Because the amendments to Rule 612 have been modified to require the addition of only one minimum pricing increment, the compliance date discussed below will provide the SROs and other market participants sufficient time to implement the changes and a further phased implementation schedule is unnecessary. The move to decimalization in 2000-2001 was more complicated as it involved changes to SRO rules that specified several different increments that were fractions of a dollar and required systems changes to accommodate decimals instead of fractions.⁹⁵⁵ The amendment to Rule 612 will be less complicated because it will not require changes to SRO rules and the systems that are in place today, while needing updates, already can accommodate sub-penny increments. Further, the amendments adopted require less changes than what were proposed.

The amendments to Rule 612 will require the primary listing exchanges to evaluate each NMS stock during an Evaluation Period to calculate their TWAQS and the primary listing exchanges will have to provide a minimum pricing increment indicator to the exclusive SIPs for dissemination. The Evaluation Periods will be conducted on a semiannual basis, rather than a quarterly basis as proposed. Further, the amendments will require market participants to update and modify their systems, such as order handling and processing systems, to accommodate the one new minimum pricing increment, rather than the three new minimum pricing increments that were proposed. Market participants' systems will have to be updated and modified to accommodate the assignment of minimum pricing increments for quotes and orders priced \$1.00 or greater to each NMS stock on a semiannual basis, rather than a quarterly basis as proposed.

⁹⁵⁴ See FIF Letter at 2, 8.

⁹⁵⁵ For a description of the move to decimalization, see Staff Decimalization Report, supra note 26.

The systems updates necessary for implementing the amendment to Rule 612 are less burdensome than what was proposed.

The Commission has considered the systems changes that will be necessary to implement the amendments to Rules 600(b)(89)(i)(F) and 612 and is assigning the compliance date for amended Rule 612 to be the first business day of November 2025. In determining this compliance date, the Commission considered the systems changes that must be completed and the date by which the TWAQS can be calculated during an Evaluation Period after the systems changes could be completed. This compliance date is sufficient for facilitating an orderly transition to the amended Rule 612.

B. Final Rule 610 Compliance Date

The Commission proposed that compliance with the amendments to Rule 610 would have occurred during the implementation period proposed for the amendments to Rule 612, discussed above.⁹⁵⁶ The proposed access fee caps would have also had a staggered implementation to reflect the proposed implementation of the proposed minimum pricing increments. Specifically, compliance with the proposed 10 mils access fee cap would have been at the same as the proposed \$0.005 minimum pricing increment, and compliance with the proposed 5 mils access fee cap would have been at the same time as the proposed \$0.001 minimum pricing increment.⁹⁵⁷

As described above, the Commission has modified amendment to Rule 612 and has also modified the compliance date for the Rule 612 amendments. Further, the Commission has modified the amendment to Rule 610 such that the access fee cap structure is retained and only the level of the caps has been reduced. The Commission is reducing the access fee caps under

⁹⁵⁶ See Proposing Release, supra note 11, at 80284.

⁹⁵⁷ See Proposing Release, supra note 11, at 80284 n.249.

Rule 610 to accommodate the new pricing increments as well as to address distortions in the market associated with fee and rebate models.⁹⁵⁸ Accordingly, the Commission is modifying the compliance date for the final Rule 610 amendments to coincide with the compliance date for Rule 612. The national securities exchanges will have to file proposed rule changes with the Commission pursuant to section 19(b) and rule 19b-4⁹⁵⁹ to adjust their fee schedules to reflect the new lower access fee caps. Further, the national securities exchanges will have to file proposed rule changes to adjust any fee or rebate that is not determinable at the time of execution.

The Commission is adopting a first business day of November 2025 compliance date for the amendments to Rule 610. This date provides the national securities exchanges with time to assess their fee schedules and file proposed rule changes pursuant to section 19(b) and rule 19b-4 to adjust their fee schedules in order to comply with Rule 610 as amended.

C. Final Compliance Date for Round Lot and Odd-Lot Information

In the Proposing Release, the Commission proposed to require compliance with the odd-lot information and round lot definitions, including, as required under proposed Rule 603(b), that national securities exchanges and associations make the data available to the exclusive SIPs, that the exclusive SIPs represent quotation sizes in consolidated information in terms of the number of shares, rounded down to the nearest multiple of a round lot, and that the exclusive SIPs disseminate odd-lot information as defined in Rule 600(b)(69)⁹⁶⁰ 90 days from Federal Register publication of any Commission adoption of an earlier implementation of the round lot and odd-

⁹⁵⁸ See supra section IV.D.1.

⁹⁵⁹ See 15 U.S.C. 78s(b); 17 CFR 240.19b-4.

⁹⁶⁰ See supra note 719.